Investment Research Division

lululemon athletica (NASDAQ: LULU)

What you will be focusing on during this pitch

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Situation Overview and Current Investment Setup

This slide outlines why this investment opportunity exists and the historical financial context driving the current setup

The recent guidance cut triggered a massive cyclical panic pushing Lululemon down to roughly 100 dollars [1]

Despite historically compounding double digit growth the market capitulated over a guidance cut of 5 to 7 percent [2]

Lululemon still retains durable cash flows with clean run rate operating margins of 13.2 percent [3]

Near-term Americas stagnation is modeled via FY26-FY30 US averages of approximately flat same-store comps and only 6 annual gross store openings, offset by China Mainland averages of 10.2% comps and 16 gross store openings [4]

Links & Sources

- [1] TIKR LULU Stock Crashed 17%: https://www.tikr.com/blog/lululemon-stock-crashed-17-on-friday-the-guidance-cut-was-the-real-story
- [2] Lululemon Q2 FY2026 Guidance Release: https://corporate.lululemon.com/~/media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf
- [3] Provided Valuation Model: LULUMODEL18.xlsx
- [4] LULUMODEL18.xlsx, Revenue Drivers Schedule (Americas & China comps & store openings)

Market Narrative and Analyst Sentiment Surrounding the Stock

This slide breaks down current market sentiment and exactly what analysts are saying about the recent guidance cut

Morgan Stanley issued a highly pessimistic forecast after management aggressively cut 2026 revenue guidance to 10.35 billion [1]

Analysts are paralyzed by cyclical fears as the consensus price target was slashed from 176 dollars to 136 dollars [2]

Firms like BTIG maintain neutral ratings due to short-term turbulence but ignore the durable competitive advantage we see [3]

Links & Sources

- [1] MarketBeat: Morgan Stanley Issues Pessimistic Forecast for lululemon athletica: https://www.marketbeat.com/instant-alerts/analyst-morgan-stanley-issues-pessimistic-forecast-for-lululemon-athletica-nasdaq-lulu-stock-price-2026-09-04/
- [2] Simply Wall St: lululemon athletica Stock Analysis: https://simplywall.st/stocks/us/consumer-durables/nasdaq-lulu/lululemon-athletica
- [3] GuruFocus: LULU Reiterates by BTIG - Rating Maintained at Neutral: https://www.gurufocus.com/news/9068272/lulu-reiterates-by-btig-rating-maintained-at-neutral

Investment Thesis Summary and Target Price

This slide breaks down our $133.64 intrinsic DCF fair value, our $140 twelve-month target price, and the three core pillars supporting our overweight recommendation

Our base-case DCF yields an intrinsic fair value of $133.64 per share (+33.6% upside), supporting our 12-month target price of $140.00 as market multiples modestly re-rate [1]

The first pillar is profitability because adjusting out the tariff refunds reveals LULU still maintains a highly resilient 13.2 percent clean run-rate operating margin [2]

The second pillar is our mathematically sound 9.0 percent WACC which strictly bounds our 2.3 percent long-term revenue growth assumption [3]

Finally, international expansion remains the crucial growth engine, as FY25 China segment revenue grew approximately 29% year-over-year versus flat Americas, and modeled China growth offsets this stagnation with FY26-FY30 averages of 10.2% same-store comps and 16 annual gross store openings [4]

Links & Sources

- [1] Provided Valuation Model (Base Case Implied Value): LULUMODEL18_3.xlsx
- [2] Lululemon Q2 FY2026 Earnings Release (13.2% Margin Calc): https://corporate.lululemon.com/~/media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf
- [3] Provided Valuation Model (WACC & Revenue Drivers): LULUMODEL18_3.xlsx
- [4] Lululemon Q2 FY2026 Earnings Release (International Growth): https://corporate.lululemon.com/~/media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf

Geographic Segments and Revenue Breakdown

This slide outlines Lululemon's geographic segments and revenue breakdown while detailing why China growth offsets temporary US declines

Lululemon generated 11.1 billion dollars in total revenue with Americas contributing 7.85 billion dollars or 70.68 percent [1]

Americas comparable sales fell 3 percent due to temporary cyclical macro pressure rather than structural brand degradation [2]

China Mainland reached 1.75 billion dollars in segment revenue on +20% FY25 comparable sales growth, proving high-growth international expansion easily offsets US temporary weakness [3]

Links & Sources

- [1] Lululemon FY2025 Form 10-K (Segment Revenue and Percentages): https://corporate.lululemon.com/~/media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf
- [2] Lululemon FY2025 Form 10-K (Americas Comparable Sales): https://corporate.lululemon.com/~/media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf
- [3] Provided Valuation Model (China Mainland Growth & Revenue Driver): LULUMODEL18.xlsx

This slide analyzes Lululemon's unit economics and competitive moats that protect its long-term market leadership

Lululemon sustains a 56.6 percent gross margin providing a massive competitive moat against retail price competition [1]

E-commerce unit economics remain elite with direct-to-consumer EBIT margins hitting 23.6 percent without retail occupancy drag [2]

Company-operated stores generate 1,426 dollars per square foot and an 18.6 percent EBIT margin establishing high capital efficiency [3]

Links & Sources

- [1] Provided Valuation Model (Gross Margin): LULUMODEL18_6.xlsx
- [2] Provided Valuation Model (E-commerce EBIT Margin Driver): LULUMODEL18_6.xlsx
- [3] Provided Valuation Model (Store EBIT Margin & SPSF): LULUMODEL18_6.xlsx

Industry Overview - Trends and Structure

This slide explores the ongoing athleisure industry trends including market fragmentation and the barriers to entry

I argue the global athleisure market remains highly fragmented meaning most players lack a durable competitive advantage [1]

The premium segment maintains high barriers to entry protecting global champions from temporary cyclical noise [2]

Lululemon mathematically proves its moat by generating a 30.25 percent ROE far outpacing the 6.81 percent industry median [3]

Links & Sources

- [1] Market.us Media (Athleisure Market Fragmentation): https://media.market.us/athleisure-industry-statistics/
- [2] Fortune Business Insights (Premium Athleisure Trends): https://www.fortunebusinessinsights.com/athleisure-market-110642
- [3] FinanceCharts (Lululemon ROE & Retail Median): https://www.financecharts.com/stocks/LULU/growth/roe

This slide dissects capital efficiency metrics comparing Lululemon's gross margin directly against legacy apparel competitors

Lululemon commands a 56.6 percent gross margin far exceeding traditional athletic apparel peers like Nike and Under Armour [1]

Nike struggles to maintain a 43 percent margin while Under Armour hovers around 46 percent reflecting their wholesale dependence [2]

Lululemon's direct-to-consumer scale prevents this structural margin compression and forms an impenetrable economic moat against industry price wars [3]

Links & Sources

- [1] Provided Valuation Model (Gross Margin Assumptions): LULUMODEL18.xlsx
- [2] Investing.com (Nike & Under Armour Historical Gross Margins): https://www.investing.com/pro/NYSE:NKE/explorer/gp_margin
- [3] ProAnalyst LULU Market Report (Competitor Margins & DTC Moat): https://lulu.proanalyst.ai/business

Investment Thesis I

This slide outlines the core contrarian investment thesis utilizing numerical evidence from the LULUMODEL18.xlsx file

The 2026 price drop exceeding 50% has left Lululemon critically undervalued despite durable cash flows [1]

Its premium Direct-to-Consumer revenue mix protects a massive 54.9% adjusted gross margin, mathematically justifying my intrinsic valuation thesis [2]

Furthermore, even with Americas growth stagnating, sheer cash flow generation creates a robust intrinsic valuation buffer, where a conservative 2.25% terminal growth rate still yields over 30% upside to our $133.64 target price [3]

Links & Sources

- [1] https://everythingmoney.com/blog/lululemon-is-collapsing-burry-s-biggest-bet-4334
- [2] https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733
- [3] LULUMODEL18.xlsx, DCF Terminal Value & Valuation Summary Schedule

Investment Thesis II Partial Margin Recovery & Brand Loyalty Floor

This slide details how partial margin recovery supported by core brand loyalty still drives a highly compelling valuation

Historical pandemic-era peak EBIT margins reached 23.7% in FY24 showing prior peak earnings power [1]

Our valuation assumes a floor built on resilient baseline brand loyalty, proving Lululemon does not need to remain the hottest viral trend 100% of the time to sustain a 13.2% trough margin [2]

A modest partial recovery to just 15.5% EBIT margin by FY30 still yields $133.64 per share [3]

This proves returning to peak COVID profitability is completely unnecessary to unlock substantial market upside [4]

Links & Sources

- [1] LULUMODEL18.xlsx / SEC EDGAR Form 10-K (FY24 Peak Margins)
- [2] LULUMODEL18.xlsx, Clean Run-Rate EBIT Margin & Brand Royalty Assumptions
- [3] LULUMODEL18.xlsx, Base Case DCF Valuation Summary
- [4] LULUMODEL18.xlsx, Discounted Cash Flow Valuation Summary

Investment Thesis III: Geographic Growth Divergence

This slide examines how Lululemon's top-line projections rely disproportionately on Chinese market expansion to conceal domestic North American stagnation

The revenue build reveals Americas facing near-term contraction with -4.0% comps in FY26 flatlining at a terminal 2.0% growth rate by FY30 [1]

To offset this domestic anchor, the model assumes FY26-FY30 China footprint expansion averaging 16 gross store openings annually versus 6 in Americas, plus 10.2% average same-store comp growth (14% to 7% FY26-FY30) on existing doors [2]

Consequently, if the Chinese consumer softens, this model's core top-line projections will not be optimal enough to meet our target [3]

Links & Sources

- [1] LULUMODEL18.xlsx, Americas FY26-FY30 Comparable Sales Growth Assumptions
- [2] LULUMODEL18.xlsx, FY26 Store Openings & Mainland China Revenue Build
- [3] LULUMODEL18.xlsx, Revenue Drivers Schedule

Risk & Mitigants

This slide evaluates core downside risks and demonstrates how share repurchases compound EPS to drive share price recovery

China deceleration risks a $56.00 bear floor, but $45.64 cumulative cash per share recovers 45% of entry price [1]

Slashed CapEx saves $360M annually by relying on online e-commerce's 23.6% EBIT margin plus $101.5M inventory releases [2]

Deploying $750M annually into buybacks retires 32.9 million shares, compounding EPS to $14.57, more than enough to recover our $133.64 DCF-implied share price [3]

Links & Sources

- [1] LULUMODEL18.xlsx, Bear Case DCF Valuation Summary / https://www.barrons.com/articles/lululemon-stock-earnings-guidance-a7a7c5c0
- [2] LULUMODEL18.xlsx, CapEx & E-Commerce Channel EBIT Assumptions / https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733
- [3] LULUMODEL18.xlsx, Share Repurchase & EPS Accretion Schedule / https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733

Timeline of Recovery

2026 (Q3 FY2026 Trough)	Q3 FY2026 revenue laps guidance trough while China Double 11 sales confirm holiday store traffic floor stabilization across key markets [1]
2027 (FY2026 Year-End)	First full-year reset absorbs steep prior declines while $134.5M tariff refunds and targeted SG&A cost actions protect earnings per share [2]
2027 (FY2027 Margin Inflection)	Operating margins expand to 13.8% (+60 bps) as promotional headwinds anniversary, while $750M annual buybacks compound EPS to $10.09 to boost sentiment [3]
2028 (FY2027-FY2028 Multiple Re-Rating)	China adds ~17 net stores in FY27 while +12% FY27 and +10% FY28 same-store comps offset Americas -4% FY26 comps, driving re-rating toward $133.64 [4]

Links & Sources

- [1] LULUMODEL18.xlsx, Scenarios & Revenue Drivers / https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733
- [2] LULUMODEL18.xlsx, NOPAT Bridge & Scenarios / https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733
- [3] LULUMODEL18.xlsx, Scenarios & Unlevered Free Cash Flow Schedule / https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733
- [4] LULUMODEL18.xlsx, Revenue Drivers & DCF Valuation Summary / https://stockanalysis.com/stocks/lulu/forecast/

Financials | Income Statement

Reported history (10-K) vs base-case operating forecast: FY26-30 (US$ M)

HISTORICALS (FY2022-FY2025) | SEC 10-K

- Net revenue: FY22 $8,111M to FY25 $11,103M
- Gross profit: FY22 4,492M to FY25 6,284M
- Operating income: FY22 1,328M to FY25 2,211M
- Operating margin %: FY22 16.4% to FY25 19.9% (peak 23.7% FY24)
- Net income: FY22 855M to FY25 1,579M
- Diluted EPS: FY22 $6.68 to FY25 $13.26

FORECAST (FY2026E-FY2030E) | base case (Scenarios col G)

- Net revenue: FY26 10,425M to FY30 11,418M
- Gross profit: FY26 5,901M to FY30 6,463M
- Operating income: FY26 1,511M to FY30 1,770M
- Operating margin %: FY26 14.5% to FY30 15.5%
- Net income: FY26 1,089M to FY30 1,256M
- Diluted EPS: FY26 $9.76 to FY30 $14.57

US$ M	22	23	24	25	26	27	28	29	30
Net revenue	**8,111**	**9,619**	**10,588**	**11,103**	**10,425**	**10,665**	**10,910**	**11,161**	**11,418**
Gross profit	4,492	5,609	6,271	6,284	5,901	6,036	6,175	6,317	6,463
Operating income	**1,328**	**2,133**	**2,506**	**2,211**	**1,511**	**1,469**	**1,566**	**1,666**	**1,770**
Operating margin %	16.4%	22.2%	23.7%	19.9%	14.5%	13.8%	14.4%	14.9%	15.5%
Net income	855	1,550	1,815	1,579	1,089	1,056	1,120	1,187	1,256
Diluted EPS ($)	**6.68**	**12.20**	**14.64**	**13.26**	**9.76**	**10.09**	**11.42**	**12.91**	**14.57**

Line item	Hist source (22-25)	Fcst source, Scenarios col G
Net revenue	10-K IS, Net revenue	Scenarios!G25:G29 (Revenue yr 1-5)
Gross profit	10-K IS, Gross profit	Scenarios!G25:G29 × Scenarios!G30:G34 (rev × GM%)
Operating income	10-K IS, Operating income	Scenarios!G45:G49 (EBIT yr 1-5)
Operating margin %	10-K IS, OI ÷ revenue	Scenarios!G45:G49 ÷ Scenarios!G25:G29
Net income	10-K IS, Net income	Scenarios!G143:G147 (pitch bridge NI)
Diluted EPS	10-K IS, Diluted EPS	NI ÷ buyback-adjusted shares ($750M/yr; Scenarios!G188:G192)

Forecast: LULU_DCF_Valuation_Model.xlsx, Scenarios col G. EPS = NI ÷ diluted shares after $750M/yr repurchases (DCF $134 still uses 111.4M day-one basic shares). Hist = 10-K. Forecast (26-30) = DCF Scenarios pitch-bridge block, col G (base case only). Per-row model refs shown under line items

Financials | Balance Sheet

Net-cash history vs base-case funded growth: FY26-30 (US$ M)

HISTORICALS (FY2022-FY2025) | SEC 10-K

- Cash & equivalents: FY22 1,155M to FY25 1,807M
- Inventories: FY22 1,447M to FY25 1,701M
- Total assets: FY22 5,607M to FY25 8,457M
- Total liabilities: FY22 2,458M to FY25 3,495M
- Total equity: FY22 3,149M to FY25 4,962M
- Funded debt: $0 across FY22-FY25 (net-cash)

FORECAST (FY2026E-FY2030E) | base case (Scenarios col G)

- Cash & equivalents: FY26 2,143M to FY30 3,247M
- Inventories: FY26 1,585M to FY30 1,681M
- Total assets: FY26 7,691M to FY30 7,447M
- Total liabilities: FY26 3,282M to FY30 3,594M
- Total equity: FY26 4,659M to FY30 5,103M
- Funded debt: $0 (no term debt in model)

US$ M	22	23	24	25	26	27	28	29	30
Cash & equivalents	1,155	2,244	1,984	1,807	2,143	2,325	2,567	2,874	3,247
Inventories	1,447	1,324	1,442	1,701	1,585	1,608	1,632	1,657	1,681
Total assets	**5,607**	**7,092**	**7,603**	**8,457**	**7,691**	**7,624**	**7,560**	**7,502**	**7,447**
Total liabilities	2,458	2,860	3,279	3,495	3,282	3,357	3,434	3,513	3,594
Total equity	**3,149**	**4,232**	**4,324**	**4,962**	**4,659**	**4,766**	**4,876**	**4,988**	**5,103**
Funded debt	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**

Line item	Hist source (22-25)	Fcst source, Scenarios col G
Cash & equivalents	10-K BS, Cash & equivalents	Scenarios!G163:G167 (pitch bridge cash roll-forward)
Inventories	10-K BS, Inventories	Scenarios!G80:G84 (NWC schedule)
Total assets	10-K BS, Total assets	Scenarios!G168:G172 (FY25 TA × rev growth)
Total liabilities	10-K BS, Total liabilities	Scenarios!G173:G177 (FY25 TL × rev growth)
Total equity	10-K BS, Total equity	Scenarios!G178:G182 (FY25 TE × rev growth)
Funded debt	10-K BS, Long-term debt ($0)	Model assumption, $0 (no term debt)

BS forecast: cash roll-forward includes $750M/yr buybacks; equity scales with revenue (buyback-driven equity reduction shown via CF / IS share count, not TE line). Hist = 10-K. Forecast (26-30) = DCF Scenarios pitch-bridge block, col G (base case only). Per-row model refs shown under line items

Operating FCF (DCF input) vs financing: historical 10-K vs base case (US$ M)

HISTORICALS (FY2022-FY2025) | SEC 10-K

- Cash from operations: FY22 966M to FY25 1,602M
- D&A (add-back): FY22 292M to FY25 496M
- Capital expenditures: FY25 (681) outflow
- Free cash flow: FY25 922M (CFO – capex)
- Share repurchases (CFF): FY25 (1,178) outflow

FORECAST (FY2026E-FY2030E) | base case (Scenarios col G)

- Cash from operations: FY26 1,660M to FY30 1,751M
- D&A (add-back): FY26 469M to FY30 514M
- Capital expenditures: FY26 (573) to FY30 (628)
- Free cash flow: FY26 1,087M to FY30 1,123M
- Share repurchases (CFF): FY26 (750) to FY30 (750)

US$ M	22	23	24	25	26	27	28	29	30
Cash from operations	966	2,296	2,273	1,602	1,660	1,518	1,593	1,670	1,751
D&A (add-back)	292	379	447	496	469	480	491	502	514
Capital expenditures	(639)	(652)	(689)	(681)	(573)	(587)	(600)	(614)	(628)
Free cash flow	**328**	**1,644**	**1,583**	**922**	**1,087**	**931**	**993**	**1,056**	**1,123**
Share repurchases (CFF)	(444)	(559)	(1,637)	(1,178)	(750)	(750)	(750)	(750)	(750)

Line item	Hist source (22-25)	Fcst source, Scenarios col G
Cash from operations	10-K CF, Operating activities	Scenarios!G148:G152 (pitch bridge CFO)
D&A (add-back)	10-K CF, Depreciation & amortization	Scenarios!G55:G59 (D&A yr 1-5)
Capital expenditures	10-K CF, Capital expenditures	Scenarios!G60:G64 (Capex yr 1-5)
Free cash flow	10-K CF, CFO – capex	Scenarios!G153:G157 (pitch bridge FCF/CFS)
Share repurchases	10-K CF, Repurchases (financing)	Scenarios!G158:G162 (G21=$750M/yr fixed)

Buybacks: $750M/yr fixed (Scenarios col G). Cash roll-forward = prior cash + FCF – buybacks. Hist = 10-K. Forecast (26-30) = DCF Scenarios pitch-bridge block, col G (base case only). Per-row model refs shown under line items

Cap stack and WACC build: lease-adjusted; no funded term debt

CAPITAL STACK (US$ M)

Component	US$ M	WACC weight
Market equity (price × shares)	11,138	86.1%
ASC 842 operating lease liabilities	1,798	13.9%
Funded debt (term loans / bonds)	0	0.0%
Total capital (WACC basis)	**12,936**	**100.0%**

EV BRIDGE (NOT IN WACC WEIGHTS)

Component	US$ M	Note
Cash & equivalents	1,807	Added back in EV, equity bridge
Net debt (leases – cash)	-9	Near net-cash; leases in WACC above

No funded bank debt; ASC 842 store leases are the only debt equivalent (~14% WACC weight). Cash $1,807M exceeds lease debt, net-cash on a funded-debt basis

WACC BUILD (CAPM)

Input	Value
Risk-free rate (10-yr UST)	4.80%
Equity risk premium	6.00%
Tax rate	30.00%
Beta (relevered; lease adj.)	0.84
Cost of equity (CAPM)	**9.86%**
Pre-tax Kd (lease-equivalent)	5.00%
After-tax Kd	3.50%
Equity / debt weight	86.1% / 13.9%

β: Yahoo βL 0.86 to unlevered 0.76 @ D/E 0.19 to relever 0.84 @ lease D/E 0.16

WACC = 8.98%

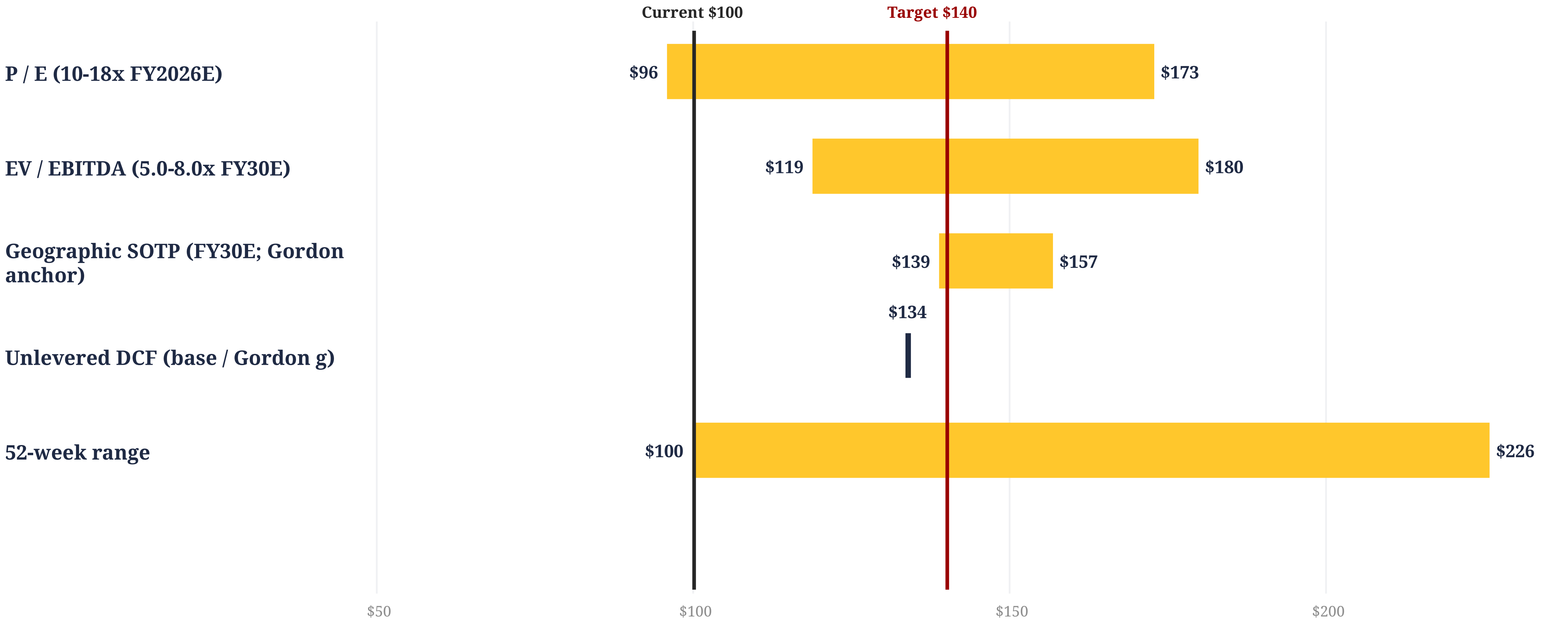
Base-case discount rate: Scenarios col G · implied price $134

MODEL SOURCE MAP

Cap stack line item	DCF model source (WACC tab, col E)
Market equity	WACC!E10
ASC 842 operating leases	WACC!E11 (FY25 10-K)
Funded debt	WACC!E13
Total capital	WACC!E14
Cash & equivalents	10-K BS, Cash
Net debt	DCF EV bridge

WACC input	DCF model source (WACC tab, col E)
Risk-free rate	WACC!E3
Equity risk premium	WACC!E4
Tax rate	WACC!E5
Beta (relevered)	WACC!E25
Cost of equity	WACC!E32
Pre-tax Kd	WACC!E35
After-tax Kd	WACC!E36
Equity / debt weights	WACC!E39 / WACC!E40
WACC	**WACC!E41**

Football field: implied share-price ranges by methodology (base case DCF)



12-month target $140 sits above base-case DCF $134 and inside the comps/SOTP ranges: a partial re-rating, not a return to peak multiples

DCF row = Scenarios col G (Gordon growth). Bear $56 / bull $202 bracket scenario range from the model

Source: LULU_DCF_Valuation_Model.xlsx, Comps / football field tab; geographic SOTP on FY30E base revenue mix

Sum of the Parts

Geographic segments on FY30E base revenue: EV/EBITDA spreads vs Gordon-implied exit (7.4x)

Segment	FY30E rev	EBITDA %	FY30E EBITDA	EV/EBITDA	Segment EV ($M)
Americas	8,070	16.5%	1,551	6.4x-7.1x	9,924-11,010
China Mainland	1,805	19.5%	410	7.9x-9.4x	3,238-3,852
Rest of World	1,543	18.0%	324	7.1x-8.1x	2,297-2,621
Total segment EV	**11,418**		**2,284**	**6.8x-7.7x**	**15,459-17,483**
Corporate / HQ (no separate carve-out)				n/a	$0
+ Cash / − lease debt (EV bridge)				n/a	+1,807 / −1,798
Implied equity value / share				**n/a**	**$139-$157**

Methodology

- Single-brand retailer: geography is the cleanest SOTP cut (Americas / China / RoW per 10-K)
- FY30E segment revenue = FY25 geo mix × base-case consolidated FY30 revenue (Scenarios col G)
- Segment EV/EBITDA spreads anchor to Gordon-implied exit 7.4x (selected DCF TV identity: not the 5-8x comps football-field band)
- Americas: Gordon − 1.0x to − 0.25x (mature); China: +0.5x to +2.0x (growth); RoW: −0.25x to +0.75x
- Consolidated base-case DCF $134 uses Gordon growth (g=2.25%); SOTP is terminal-year EBITDA triangulation only

SOTP vs DCF

SOTP range: $139-$157

Base-case DCF: $134

Overlap is expected: SOTP applies FY30 EBITDA multiples; DCF discounts explicit FCF + Gordon growth TV

Segment revenue: FY2025 10-K geography; FY30E scaled to base-case consolidated revenue (Scenarios col G)

DCF Valuation

Base-case unlevered DCF (Scenarios col G): Gordon growth terminal value; 7.4x is implied exit identity

BASE-CASE ASSUMPTIONS (SCENARIOS COL G)

Assumption	Value
FY2026 revenue growth	-6.1%
FY2027-30 revenue growth (avg)	+2.3%
Clean EBIT margin (FY26 run-rate)	13.2%
Terminal EBIT margin (FY2030E)	15.5%
FY26 tariff refunds (one-time)	$134.5M
Cash tax rate	30%
Capex % of revenue	5.5%
WACC	9.0%
Terminal growth (g)	2.25%
Gordon-implied exit EV/EBITDA (identity)	7.4x

VALUATION OUTPUT (US$ M)

PV of explicit FCF (FY26-FY30) **3,944**
PV of terminal value **10,933**
Enterprise value 14,876
Plus: cash **1,807**
Less: lease debt (ASC 842) **(1,798)**
Equity value 14,885
÷ Diluted shares (M) **111.4**

Implied value: $134 / share

TERMINAL VALUE | GORDON GROWTH (SELECTED)

Method	Formula / input	FY30 TV ($M)
Gordon growth (selected)	FCF_5 × (1+g) / (WACC−g); g=2.25%	16,804
Exit multiple (identity check)	FY30 EBITDA × 7.4x = Gordon TV ÷ EBITDA (same number)	16,804

TV = 73% of EV · 7.4x = Gordon TV ÷ FY30 EBITDA $2,284M (not a peer pick)

Selected TV is Gordon growth (g). The 7.4x exit multiple is the identity check (TV ÷ FY30 EBITDA), not a peer average

SENSITIVITY | IMPLIED SHARE PRICE (WACC vs TERMINAL g)

WACC \ g	1.5%	2.0%	2.25%	2.5%	3.0%
9.5%	$115	$121	$124	$127	$135
10.0%	$108	$113	$116	$119	$125
10.5%	$102	$106	$109	$111	$117
11.0%	$97	$100	$103	$105	$110

Base-case cell
WACC 9.0% × g 2.25% gives $134. Grid brackets ±100bps WACC and 1.5-3.0% g

Source: LULU_DCF_Valuation_Model.xlsx, Scenarios col G + DCF tab

lululemon athletica (NASDAQ: LULU)

Implied LULU valuation from PitchBook core athletic / apparel set (04-Sep-2026)

COMPARABLE COMPANIES | TRADING MULTIPLES

Company	EV/Rev	EV/EBITDA	EV/EBIT	P/E
adidas	1.51x	9.2x	18.6x	19.1x
Nike	1.27x	12.7x	15.9x	18.3x
Deckers	2.47x	7.9x	9.8x	12.1x
Crocs	1.74x	7.8x	7.8x	10.3x
Levi Strauss	1.52x	9.6x	18.1x	15.0x
Kontoor	2.01x	12.8x	15.4x	18.0x
Core median (ex-LULU)	1.63x	9.4x	15.7x	16.5x
LULU @ $100 (current)	**1.07x**	**4.7x**	**5.0x**	**10.4x**

IMPLIED LULU VALUATION (CORE PEER MEDIAN)

Metric	Peer med	LULU base	Implied px
EV / Revenue	1.63x	$10,425M	$119-$231 (med $153)
EV / EBITDA	9.4x	$2,707M	$190-$311 (med $229)
EV / EBIT	15.7x	$2,211M	$155-$369 (med $311)
P / E	16.5x	$9.61	$99-$183 (med $158)

Implied EV = peer median × LULU base (cols 2-3); P/E = median × EPS (no EV). EV + cash − lease debt ÷ shares = equity/sh

Peer benchmark methodology

Core peer set (NKE, ADS, DECK, CROX, LEVI, KTB) evaluates relative valuation using PitchBook data (04-Sep-2026). Implied equity = peer median × LULU base, EV, then + cash − ASC 842 lease debt ÷ shares

Multiples confirm severe undervaluation

LULU trades at 1.07x EV/Revenue, 4.7x EV/EBITDA (PitchBook TTM), and 10.4x forward P/E vs core peer medians of 1.63x EV/Revenue, 9.4x EV/EBITDA, and 16.5x P/E

DCF terminal valuation discount

Base-case DCF uses Gordon growth g = 2.25%, implying 7.4x FY30 EV/EBITDA exit multiple: well below the 9.4x peer median (right table uses TTM EBITDA)

Conservative target price re-rating

Our $134 base-case DCF and $140 12-month target (+6 vs DCF, ~4% above model fair value) reflect undervaluation with only a modest re-rating: not Nike-level multiples

PitchBook Comps Set 04-Sep-2026 (EV, TTM EBITDA); revenue/EBIT from company filings; forward P/E from consensus

Precedent Transactions

Private-market context for athleisure M&A: not used to imply a control premium on LULU

Target	Year	Type	EV ($M)	EV/Rev	EV/EBITDA	Status
Sweaty Betty	2021	Closed acquisition	410	1.6x	16.0x	Closed Aug-2021; ~16x FY21E EBITDA
Gymshark	2020	Minority growth round	1,300	5.0x	n/a	Closed Aug-2020; $1.3bn EV (minority)
Vuori	2021	Growth investment	4,000	n/a	n/a	Closed Oct-2021; $4bn post-money
Alo Yoga (Color Image)	2023	Unclosed sale process	10,000	5.0x	n/a	Unclosed; no deal per Reuters Jun-2026
LULU (public @ $100)	**n/a**	**Public equity**	**11,129**	**1.07x**	**4.7x**	**Trading comps only (not a premium benchmark)**

Private precedent framework

Non-Alo private transactions establish a contextual floor of what strategics and PE pay for premium athleisure. They do not imply a control premium on LULU's public stock

Closed M&A benchmark

Wolverine paid $410M (~16x EBITDA, ~1.6x sales) for Sweaty Betty (2021), a concrete operating-company precedent for women's DTC activewear

Growth capital rounds

Gymshark ($1.3B implied EV, 2020 minority stake) and Vuori ($4B post-money, 2021) show institutional demand and realistic baselines for premium DTC brands

Excluded unclosed process

Alo's ~$10B ask (~5.0x EV/Sales) is LULU's closest yoga peer, but unclosed private asks cannot dictate actual public equity valuation

Valuation anchors

DCF base: $134 | Target: $140

Private precedents inform strategic context only; public comps on the prior slide

Source: Wolverine IR/SEC (Sweaty Betty); Bloomberg (Gymshark); BusinessWire/Reuters (Vuori); Reuters/Forbes (Alo)